Macro Lens Research

Fed Cuts Amid Data Blackout as the Dollar Rebounds

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11/2/2025

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Executive Summary

Overview:
This week was defined by policy-driven market moves amid limited data availability. The Federal Reserve cut the federal funds target range by **25bps** to 4.00%, citing slowing employment and heightened downside risks. However, the ongoing U.S. government shutdown prevented the release of key economic indicators, leaving both markets and the Fed **without** fresh data to guide policy.

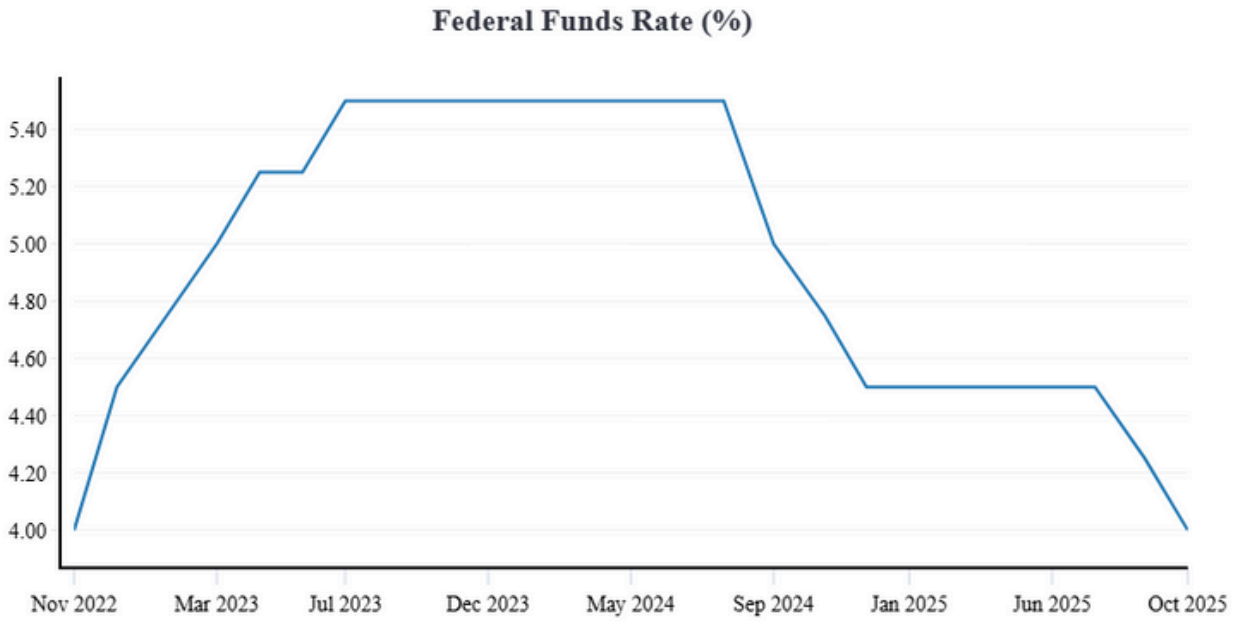
Key Points:

- **Fed Policy:** Jerome Powell emphasized that the lack of new economic data means there is no guarantee of another rate cut at the December FOMC meeting. The Fed's decisions will remain data-dependent, signaling a cautious approach.
- **Dollar Strength:** Despite the rate cut, the U.S. dollar rebounded as investors sought safe-haven positioning in response to economic uncertainty.
- **Global Context:**
  - **Eurozone:** Mild growth and easing inflation, ECB remains on hold.
  - **UK:** Housing and mortgage markets show tentative resilience, but retail data is weak.
  - **Japan:** Inflation remains above target, industrial production rebounds, BOJ policy unchanged.
- **Market Implications:**
  - Volatility was limited but skewed by uncertainty.
  - Markets reacted more to policy statements than new economic data.
  - Investors are in a "wait-and-see" mode until U.S. data resumes.

United States Economic Overview

Policy Shift Amid Data Gaps

The Federal Reserve lowered the target range for the federal funds rate by **25bps** to 4.00% this week. Powell stressed that no new economic data is available due to the government shutdown, and therefore, there is no guarantee of further cuts at the December meeting. Markets reacted primarily to policy signals rather than fresh data, creating a climate of **uncertainty.**



Inflation and Labor Market

- Inflation remains elevated at 3.0% YoY, signaling that price pressures have not yet fully abated.
- The labor market shows signs of softening, with unemployment at 4.3%, the highest in three years.

Takeaway

The Fed acted preemptively, but without fresh data, markets are left to interpret policy signals in isolation. Inflation remains sticky and labor market weakness persists, reinforcing the uncertainty around future rate decisions.

Euro Area Economic Overview

Growth Stabilizes, Inflation Moderates

The Eurozone shows signs of modest stabilization this week. GDP growth remains low but positive at 0.2% QoQ, while the preliminary data from Germany, France, Italy, and Spain suggest a broadly steady but fragile expansion. Inflation has eased slightly, with the CPI around 2.1% YoY and core measures at 2.4%, indicating that price pressures are present but not accelerating.





Labor Market Conditions

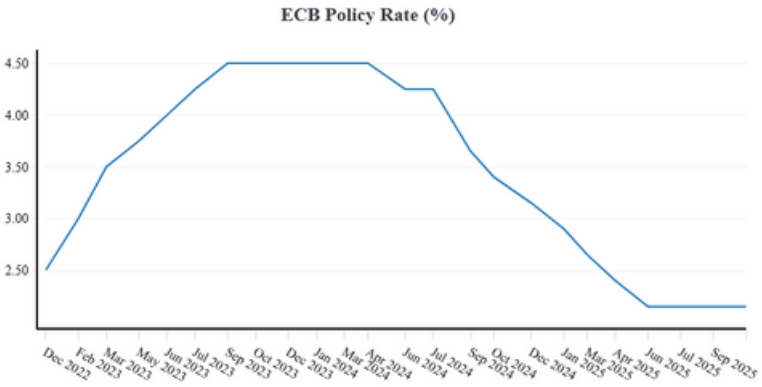
Unemployment remains a concern, holding at 6.3%, reflecting persistent slack in the labor market across the region.

Monetary Policy Context

The ECB maintained its main refinancing rate at 2.15%, with forward guidance emphasizing a data-dependent pause. This cautious stance reflects a balance between supporting growth and containing inflation, particularly as the region faces uneven recovery signals.

Takeaway

The Eurozone continues to navigate a delicate balance between slow growth and easing inflation. ECB policy remains accommodative but cautious, and markets are responding to external drivers.



United Kingdom Economic Overview

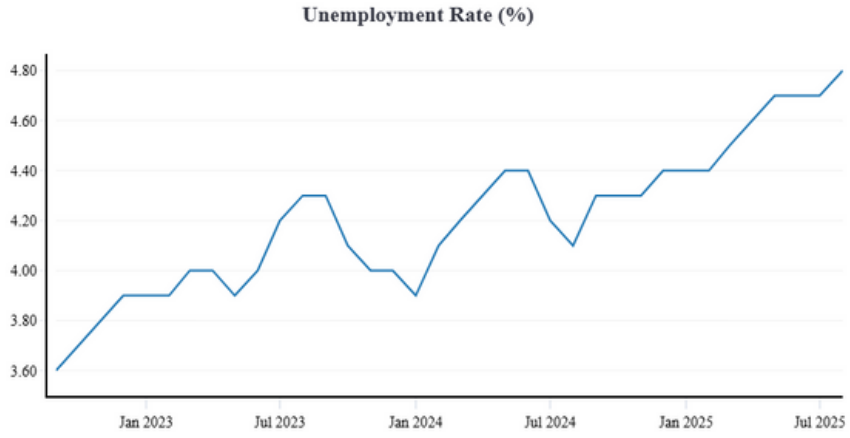
Modest Recovery Amid Inflation Pressures

The UK economy shows a mixed performance this week. GDP growth remains modest, while headline inflation continues to rise, with CPI around 3.8% YoY, signaling persistent price pressures. The Bank of England has kept policy on hold for now, reflecting the need to balance inflation containment with supporting growth.



Housing, Consumer Activity, and Labor

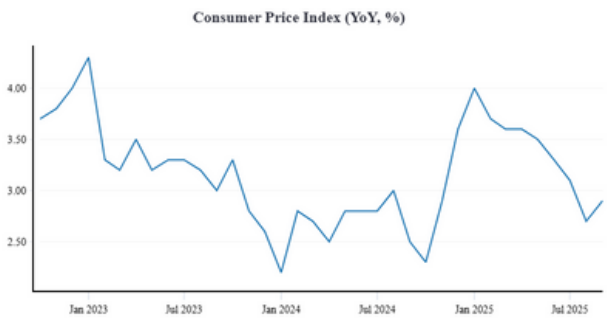
Mortgage approvals edged slightly higher, and house price trends remained positive. Retail and consumer spending data, however, remain weak, with the CBI Realized Sales index still in negative territory. Unemployment continues to rise, currently around 4.8%, indicating that labor market conditions are softer.



Japan Economic Overview

Inflation Remains Persistent, Growth Mixed

Japan continues to navigate a slow-growth, moderate-inflation environment. CPI remains elevated at 2.9% YoY, indicating that inflation pressures have not yet abated despite the BOJ's accommodative stance. Overall GDP growth remains modest, reflecting subdued domestic demand and external pressures.





Industrial, Consumer Activity, and Labor

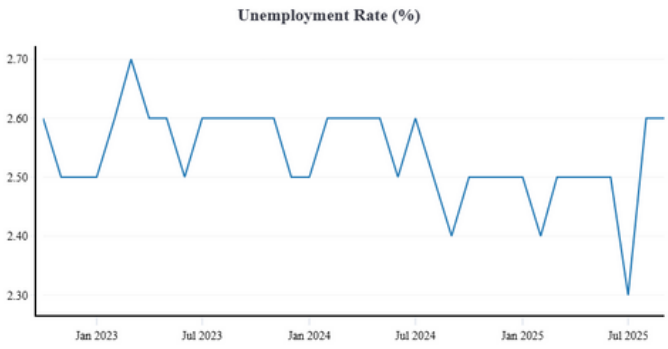
Industrial production rebounded to 2.2% MoM, following prior weakness, suggesting some resilience in manufacturing. Retail sales were slightly positive, but growth remains weak compared to pre-pandemic trends. Housing starts declined, reflecting continued softness in the construction sector. The unemployment rate held at 2.6%, consistent with prior readings, indicating a relatively tight labor market even as growth lags.

Monetary Policy Context

The BOJ maintained its policy rate below 0.50%, with guidance unchanged. Officials emphasized the need for ongoing support amid global uncertainty and rising external yields, highlighting a clear divergence from other major central banks.

Takeaway

Japan faces a delicate balance between persistent inflation and fragile growth. The BOJ's continued policy divergence underpins yen weakness and reinforces global yield differentials.



FX & Currency Market Summary

Dollar Rebounds Despite Softer Fed Tone

After weakening through much of October, the U.S. dollar regained momentum this week, defying expectations of continued softness following the Fed's rate cut. The rebound reflected a combination of position unwinding, safe-haven demand, and the lack of new economic data due to the U.S. government shutdown, rather than a shift in fundamentals.





Major Pairs

The DXY Index climbed modestly, retracing a portion of its earlier losses as investors reassessed global yield differentials. The euro and pound both eased against the dollar, while the yen continued to weaken, pressured by Japan's persistently loose monetary stance.





Sentiment Drivers

Markets were driven more by policy communication and positioning than by hard data, given the disruption of U.S. releases. Powell's comments that no further cuts are guaranteed in December added a hawkish undertone, supporting dollar resilience.

Outlook & Positioning View

Final Takeaways

The global macro backdrop remains defined by divergence. The U.S. economy continues to show relative resilience, though the lack of fresh data clouds the short-term picture. The Fed's cautious tone, emphasizing uncertainty rather than a clear easing path could suggest a potential pause in the rate-cut cycle, contingent on incoming inflation and labor data once released.

In contrast, Europe's recovery remains fragile, with slow growth but easing inflation allowing the ECB to maintain flexibility. The UK faces similar dynamics: stubborn inflation paired with rising unemployment, implying that monetary loosening may come later than markets expect. Japan remains an outlier, sustaining ultra-loose policy amid persistent yen weakness.

Positioning View

- **U.S. Dollar:** Likely to remain supported near-term by relative yield advantage and risk aversion, though medium-term bias turns neutral as easing expectations rebuild.
- **Euro & Pound:** Still range-bound, with downside risk if global risk sentiment deteriorates or U.S. strength persists.
- **Japanese Yen:** Structural weakness persists; any meaningful reversal likely requires a BOJ policy pivot or coordinated intervention.
- **Risk Assets:** Equity momentum may pause as macro uncertainty and rate expectations reset. Bond yields could stabilize if incoming data confirm a gradual slowdown.

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